

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

Unless otherwise noted, the section references to (i) “us”, “our”, “we”, “the Company” and “YUM” refer to YUM! Brands, Inc. and its consolidated subsidiaries, (ii) “the Parent” refers to YUM! Brands, Inc., on a stand-alone basis, (iii) “the Issuers” refers to KFC Holding Co., Pizza Hut Holdings, LLC and Taco Bell of America, LLC, which are direct wholly-owned subsidiaries of the Parent and co-issuers of \$750 million of 4.75% Senior Notes due 2027 (the “Subsidiary Senior Unsecured Notes”) and co-borrowers under the Credit Agreement, as defined in our annual report on Form 10-K for the year ended December 31, 2024 filed with the SEC (the “2024 10-K”) on February 19, 2025; (iv) “the Specified Guarantors” refers to collectively Yum Restaurant Services Group, LLC, Restaurant Concepts LLC and Taco Bell Corp. (including their subsidiaries except for Taco Bell Funding, LLC and its special-purpose, wholly owned subsidiaries), which are directly wholly-owned subsidiaries of the Parent and guarantors of the Subsidiary Senior Unsecured Notes and under the Credit Agreement; (v) “the Companies” refers to collectively the Issuers and the Specified Guarantors, (vi) “the Taco Bell Securitization Entities” refers to collectively Taco Bell Funding, LLC, a Delaware special purpose limited liability company and wholly owned subsidiary of Taco Bell Corp, and its special-purpose, wholly owned subsidiaries and (vii) the “Restricted Group” refers collectively to the Companies and their subsidiaries, other than the Taco Bell Securitization Entities which will not be subject to the covenants under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement, and also excludes the Parent and ABR Insurance Company which will not be subject to such covenants as well.

This discussion should be read in conjunction with the Consolidated Financial Statements (“Financial Statements”) and the section “Management’s Discussion and Analysis of Financial Condition and Results of Operations” contained in our 2024 10-K and contains additional information related to the pro forma results of operations and financial condition of the Restricted Group. None of the financial information in this discussion has been audited or reviewed by our auditors. This discussion has been prepared and posted to our website in accordance with our reporting obligations under the Indenture governing the Subsidiary Senior Unsecured Notes and the Credit Agreement. You should read the following Restricted Group’s pro forma results of operation and financial condition together with the information included in our 2024 10-K, especially the information under the heading “Risk Factors”.

Pro Forma Results of Operations for the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities and the exclusion of Parent Entity Expenses from the Restricted Group.

(in millions)	Amount			% B/(W)	
	2024	2023	2022	2024	2023
Company sales	\$ 2,552	\$ 2,142	\$ 2,072	19	3
Franchise and property revenues	2,395	2,427	2,351	(1)	3
Franchise contributions for advertising and other services	1,702	1,687	1,674	1	1
Total revenues	6,649	6,256	6,097	6	3
Company restaurant expenses	2,184	1,833	1,800	(19)	(2)
G&A expenses	1,062	1,082	1,038	2	(4)
Franchise and property expenses	134	123	123	(8)	(1)
Franchise advertising and other services expense	1,711	1,683	1,667	(2)	(1)
Refranchising (gain) loss	(34)	(29)	(27)	NM	NM
Other (income) expense	34	14	7	NM	NM
Total costs and expenses, net	5,091	4,706	4,608	(8)	(2)
Operating Profit	1,558	1,550	1,489	1	4

For fiscal years 2024, 2023 and 2022 rent expense for the Restricted Group was \$144 million, \$138 million and \$143 million, respectively.

	2024	2023	2022	% Increase (Decrease)	
				2024	2023
<u>Unit Count</u>					
Franchise & License	52,929	50,769	47,637	4	7
Company-owned	1,311	1,017	990	29	3
	54,240	51,786	48,627	5	6

	2024	2023	2022
Same-Store Sales Growth (Decline) %	(3)	6	3
System Sales Growth (Decline) %, reported	1	7	-
System Sales Growth (Decline) %, excluding FX	2	10	6
System Sales Growth (Decline) %, excluding FX and 53 rd week	2	N/A	N/A

Parent Entity Expenses:

Amounts transferred to or on behalf of Yum! Brands, Inc. as Parent Entity Expenses (as defined in the Indentures) or operating costs and expenses incurred in the ordinary course of business (as permitted by the Credit Agreement) are excluded from G&A expenses of the Restricted Group. G&A expenses of the Restricted Group were reduced for such costs by \$7 million for each of the fiscal years ended 2024, 2023 and 2022.

Pro Forma Results of Operations for the Taco Bell Division of the Restricted Group

The following table sets forth certain unaudited financial and operating data of the Taco Bell Division of the Restricted Group as of the dates and for the periods indicated after giving pro forma effect to the exclusion of the Taco Bell Securitization Entities from the Restricted Group.

				% B/(W)			% B/(W)	
				2024			2023	
	2024	2023	2022	Reported	Ex FX	Ex FX and 53rd Week in 2024	Reported	Ex FX
System Sales	\$2,151	\$2,004	\$1,805	7	7	6	11	11
Same-Store Sales Growth (Decline) %	2%	3%	8%	N/A	N/A	N/A	N/A	N/A
Company sales	\$ 1,155	\$ 1,069	\$ 1,002	8	8	6	7	7
Franchise and property revenues	97	98	92	(2)	(2)	(3)	7	7
Franchise contributions for advertising and other services	708	654	598	8	8	7	9	9
Total revenues	<u>\$ 1,960</u>	<u>\$ 1,821</u>	<u>\$ 1,692</u>	8	8	6	8	8
Company restaurant profit	\$ 219	\$ 193	\$ 181	13	13	10	7	7
Company restaurant margin %	18.9 %	18.2 %	18.1 %	0.7 ppts.	0.7 ppts.	0.6 ppts.	0.1 ppts.	0.1 ppts.
G&A expenses	\$ 87	\$ 100	\$ 96	14	14	13	(5)	(5)
Franchise and property expenses	33	32	33	(3)	(3)	(2)	4	4
Franchise advertising and other services expense	708	644	599	(10)	(10)	(8)	(7)	(7)
Operating Profit	\$ 197	\$ 169	\$ 145	17	17	13	17	17

<u>Unit Count</u>				% Increase (Decrease)	
	2024	2023	2022	2024	2023
Franchise	1,147	1,159	1,020	(1)	14
Company-owned	504	483	464	4	4
Total	<u>1,651</u>	<u>1,642</u>	<u>1,484</u>	1	11

Company Sales. In 2024, the increase in Company sales, excluding the impacts of the 53rd week, was driven by company same-store sales growth of 3% and unit growth.

G&A Expenses. In 2024, the decrease in G&A, excluding the impacts of the 53rd week, was driven by lower share-based compensation, higher management fees paid by the Taco Bell Securitization Entities and lower expenses related to our annual incentive compensation programs, partially offset by higher digital and technology expenses.

Operating Profit. In 2024, the increase in Operating Profit, excluding the impacts of the 53rd week, was driven by same-store sales growth, lower G&A and unit growth, partially offset by higher restaurant operating costs.

Taco Bell Securitization Entities:

The Securitization Transaction and the exclusion of the Taco Bell Securitization Entities from the Restricted Group had the following pro forma impact on the financial and operating data of the Restricted Group and the Taco Bell Division of the Restricted Group in comparison to the corresponding data of YUM and the Taco Bell Division:

Units

- A total of 7,106, 6,922 and 6,734 U.S. Taco Bell franchise units were excluded from the Restricted Group for the fiscal years 2024, 2023 and 2022, respectively, as the Restricted Group no longer receives franchise fees from these restaurants.

Franchise and Property Revenues

- Franchise and property revenues of \$900 million, \$820 million and \$745 million were excluded from the Restricted Group for the fiscal years 2024, 2023 and 2022, respectively, due to the exclusion of the franchise fees paid by all U.S. Taco Bell franchise restaurants as a result of the Securitization Transaction.

Company Restaurant Expenses

- The Restricted Group includes \$64 million, \$59 million and \$55 million of additional Company restaurant expenses for the fiscal years 2024, 2023 and 2022, respectively, due to the payment of royalty fees of 5.5% of annual sales to the Taco Bell Securitization Entities by all U.S. Company-owned Taco Bell restaurants (which are part of the Restricted Group).

G&A Expenses

- Management fees of \$112 million, \$104 million and \$95 million for the fiscal years 2024, 2023 and 2022, respectively, were paid by the Taco Bell Securitization Entities to Taco Bell Corp. as manager of the Taco Bell Securitization Entities, and were recorded as a reduction of G&A expenses for the Restricted Group.
- These management fees, on an annual basis, are equal to the sum of a base fee of approximately \$30 million (subject to 2% per annum escalation, compounded annually) plus 8.7% of total securitization cash revenue paid to the Taco Bell Securitization Entities by U.S. Company stores and U.S. franchisees for the year.

Consequently, the overall operating margins of the Restricted Group are negatively impacted due to the exclusion of franchise and license fees from U.S. Taco Bell franchised restaurants and the Restricted Group's obligation to pay franchise fees on U.S. Taco Bell Company-owned restaurants to the Taco Bell Securitization Entities, with no corresponding reduction of Restricted Group expenses (other than a partial offset by the management fee paid to the Restricted Group by the Taco Bell Securitization Entities as reimbursement for a portion of G&A expenses).

Additional Information Related to Restricted Group:

Fiscal Year. YUM's fiscal year begins on January 1 and ends December 31 of each year, with each quarter comprised of three months. The majority of our U.S. subsidiaries and certain international subsidiaries operate on a weekly periodic calendar where the first three quarters of each fiscal year consists of 12 weeks and the fourth quarter consists of 16 weeks in fiscal years with 52 weeks and 17 weeks in fiscal years with 53 weeks. Our remaining international subsidiaries operate on a monthly calendar similar to that on which YUM operates.

Fiscal year 2024 included 53 weeks for our U.S. businesses and for our international subsidiaries that reported on a period calendar.

Our next fiscal year scheduled to include a 53rd week for our period calendar reporters is 2030.

Refer to the 2024 10-K for further discussion.